

complaint

Mrs R has complained that esure Insurance Limited didn't pay a fair market value for her car when she made a claim under her car insurance policy.

background

Mrs R bought a car insurance policy with esure. According to the engineer's report, her car was stolen and later recovered. The engineer said Mrs R's car wasn't economical for esure to repair. So esure dealt with her claim by paying her a total loss settlement.

esure relied on the motor trade guides to decide a valuation for Mrs R's car. It increased the valuation because Mrs R's car had lower than average mileage. But it deducted £400 for pre existing damage. The final settlement sum it paid Mrs R was £4,848. Mrs R didn't think this was enough. She didn't think it was fair for esure to make a deduction.

Our investigator referred to an industry guide for renting and leasing cars to consider what she thought was reasonable to deduct for fair wear and tear. She thought it was fair for esure to deduct half of the estimated repair costs for damage to the roof. She felt on balance that this wasn't incident related. But she didn't think it was clear enough from the photos provided by esure for it to make a deduction for further pre existing damage to Mrs R's car.

The investigator recommended esure increase the valuation to £5,251.50. This was the average of two of the motor trade guides. A third trade guide was out of kilter with the other two - so she disregarded this in line with our approach. She thought it was fair for esure to deduct £182.28 from the valuation as this was 50% of the estimated costs to repair the roof damage. So she recommended esure pay Mrs R £5,069.22 – an additional £221.22.

Mrs R accepted the investigator's view. However she later queried the roof damage as she said she couldn't see a dent from the photo provided by esure.

esure didn't agree. It says it doesn't have access to the guide the investigator referred to. And in any event the policy says it will rely on the trade guides – which it did. esure believes it acted reasonably as the engineer didn't make the full deduction for what he found to be pre existing damage to the car.

So the case has been passed to me to decide.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

esure deducted £400 from the total loss settlement for pre existing damage to the roof, mirrors, doors and rear quarter panels. Both Mrs R and esure have provided photos of the roof. The engineer's report commented that the roof dent showed rust. From the photos provided, I think the damage to the roof is visible. Given the area of damage – and that there appeared to be signs of rust - I think it's very unlikely that this damage was incident related. So I think esure was reasonable to make a deduction from the total loss settlement as this would have affected the market value of the car. We think a fair approach is to deduct half of the estimated repair costs. esure said the full estimate was £364.56.

The photos provided by the engineer to show additional pre existing damage show high reflection due to sunlight – and the car had dirt and water marks which make it difficult to distinguish whether

these were any more than wear and tear scratches expected for a car of its age (Mrs R's car was four years old).

I can't safely conclude that the additional pre existing damage identified by the engineer would have affected the market value of Mrs R's car. So I agree with the investigator's recommendation. I don't think there's enough to clearly show that esure was reasonable to deduct £400 for pre existing damage – aside from the roof damage.

The investigator referred to a rental and lease industry guide on what's considered fair wear and tear on newer cars. I agree esure didn't deal with Mrs R's car as a lease or rental return. But I don't think there's anything wrong with looking at industry guidance which is available online as I think it's helpful in this case. It provides guidance for finance companies as to what is fair to charge for as damage - or regard as fair wear and tear. The guidance says a customer shouldn't be charged for any refurbishment that arises from normal wear and tear. I think it's reasonable to apply a similar approach here when deciding a total loss settlement.

So I think a fairer outcome is for esure to pay Mrs R an additional £221.22. This is the difference between the £400 it deducted and half of the roof repair costs estimate. I think esure should pay interest on this sum from the date it paid the original total loss settlement to the date it pays the difference at a rate of 8% simple interest a year.

my final decision

For the reasons I've given above, my final decision is that I uphold this complaint. I require esure Insurance Limited to do the following:

- Increase the total loss settlement it's paid Mrs R by a further £221.22.
- Pay interest on the difference at a simple rate of 8% a year from the date it paid the original settlement to the date it pays her.

esure Insurance Limited must pay the compensation within 28 days of the date on which we tell it Mrs R accepts my final decision. If it pays later than this it must also pay interest on the compensation from the date of my final decision to the date of payment at a simple rate of 8% a year.

If esure Insurance Limited considers that it's required by HM Revenue & Customs to withhold income tax from that interest, it should tell Mrs R how much it's taken off. It should also give Mrs R a tax deduction certificate if she asks for one, so she can reclaim the tax from HM Revenue & Customs if appropriate.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs R to accept or reject my decision before 27 December 2018.

Geraldine Newbold
ombudsman